

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY
Bachelor of Science in Information Technology (B.Sc. IT)
Semester-II
University Examination September - 2019
CA410 – Fundamentals of Commerce and Business Processes (FCBP)

Date: 19.09.19, Thursday**Time:** 10:00 a.m. to 01:00 p.m.**Maximum Marks:** 70**Instructions:**

1. Answer to the two sections must be written in the separate answer books.
2. Answer to different questions should start on new page.
3. Figure to the right indicate full marks.
4. Make suitable assumptions wherever necessary & mention them clearly.

SECTION – I**Q-1 Do as directed.**

- (a) What is Accounting ? Explain briefly. **03**
- (b) Define “cost” and give a suitable example of cost. **02**
- (c) Match the following numbers with the correct alphabet. **03**
- | | |
|---|-----------------|
| 1. Amount Invested in Long Term Assets which is not intended to be sold within a Year | a. Loss |
| 2. Total Expenses is more than Total Revenue | b. Creditors |
| 3. Person who provide Money or Goods on Credit to the Business | c. Fixed Assets |
- (d) State True/False. **03**
1. Tax accounting deals with complex tax laws governing Income-tax, Excise duty, Value added tax etc.
 2. Book-keeping is the art of recording business dealings in set of Books.
 3. In double entry system, every transaction has two aspects i.e. receiving and giving.

Q-2 Answer the following questions.

- (a) Explain the various branches of accounting. **04**
- (b) Explain the accounting process with suitable diagram. **04**
- (c) What is cost center? Explain any three types of cost center. **04**

OR**Q-2 Answer the following questions.**

- (a) Explain any four Principles of financial accounting in detail. **04**
- (b) List the types of accounts. Explain any one account with the rules for debit and credit. **04**
- (c) Explain Periodic and Perpetual Inventory. **04**

Q-3 Answer the following questions. (Any one)**12**

- (a) Journalize the following transactions in the books of Shri. Akash for May 2019, Post them in ledger and create the Trial Balance.

May 04	The owner started the business with 7 ,00,000 INR cash as the initial capital contribution
May 07	Furniture for Cash 60,500 INR.
May 10	Bank loan in cash in Cash 70,000 INR.
May 15	Purchased goods for Cash 80,000 INR.
May 22	Interest paid 12,000 INR.

May 25	Sold goods for Cash 4,30,000 INR.
May 28	Received Commission in Cash 6,000 INR.
May 30	Paid Rent in Cash 5,000 INR.

- (b) From the following Trial Balance extracted from the books of Shri Sunil as on 31st March, 2019, Prepare the Trading Account, Profit & Loss Account and Balance Sheet as on 31st March, 2019 after taking into consideration following adjustments.

Particulars	Dr. INR	Cr. INR
Purchase and Sales	85,000	1,50,000
Cash in Hand	34,000	
Rent	8,000	
Cash at Bank	42,000	
Stock as on 1 st April, 2018	40,000	
Carriage on Purchases	9,500	
Bad Debts	1,800	
Discounts	3,800	2,500
Sundry Creditors		30,000
Carriage on Sales	5,500	
Plant and Machinery	56,000	
Sales Return	6,200	
Purchase Return		3,800
Drawings	45,000	
Furniture and Fixtures	82,000	
Sundry Debtors	2,20,900	
Salaries	50,000	
Bills Receivable	38,000	
Insurance	9,000	
Wages	10,000	
Capital		5,68,000
Commission	7,600	
	7,54,300	7,54,300

Adjustments –

1. Depreciate Plant and Machinery at 15%.
2. Closing Stock 1,00,000 INR.

SECTION – II

Q-4 Do as directed

- (a) What is Advertising? 02
- (b) Profit = _____ - _____. 02
- (c) A purchase of 200 units at 12 INR is made by a firm, and the balance inventory before the purchase is 300 units at 10 INR, What is the updated inventory in terms of total units and unit price when calculated using weighted average? 03
- (d) Akash Ltd. is producing a part at a cost of 30 INR per unit. The composition of the cost is as follows: 04

	INR
Materials	10.00
Wages	08.00
Overheads–Variable	02.00
Fixed	<u>10.00</u>
	30.00

- Presently, the firm has been incurring a total fixed cost of 25,000 INR for manufacturing the current production of 30,000 units.
- An outsider is offering the same component, in all aspects identical in features, for

25 INR per unit. On enquiry, it is found from the firm that the machine that is manufacturing the parts would remain idle as the machinery cannot be utilized elsewhere.

- a. Should the offer be accepted?
- b. Would your answer would be different, if the outside firm reduces the price to 18 INR, after negotiation. What is the impact of the fixed costs in the decision-making process?

Q-5 Answer the following questions.

- (a) What is Sales Promotion ? Explain with example. **04**
- (b) Explain the Operative Functions of Human Resource Management **04**
- (c) What Modern technologies are supported in banking? **04**

OR

Q-5 Answer the following questions.

- (a) Explain Merchandise and Manufacturing inventory. **04**
- (b) Explain the Partnership form of business with example. **04**
- (c) Explain the functions of Financial Management. **04**

Q-6 Answer the following questions. (Any Two)

12

- (a) The following information is concerning to Balaji Inc. It employs a perpetual inventory system. Purchase and Sale occurred on the following dates for year 2019.

	Units	Unit cost (INR)	<u>Sales</u>	Units
Beginning Inventory	900	50	May 10	450
<u>Purchases</u>			July 16	300
June 15	500	52	September 12	500
October 3	400	55	November 10	200
December 16	350	58		

Calculate the ending inventory and cost of goods sold using FIFO method.

- (b) Differentiate between Selling and Marketing.
- (c) The fixed costs generated in production of an automobile part is 12,00,000 INR. The revenue generated out of its sell is 50 INR per unit and the variable cost incurred is 20 INR.
 - Determine the breakeven quantity per year.
 - Determine the profit, when 50,000 units are sold.